

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

SECTION A: GENERAL DISCLOSURES

I. Details of listed entity		
1.	Corporate Identity Number (CIN) of the Company	L27100MH1999PLC121285
2.	Name of the Company	CIE Automotive India Limited
3.	Year of incorporation	1999
4.	Registered office address	Suite F9D, Grand Hyatt Plaza (Lobby Level) Off Western Express Highway, Santacruz (E) Mumbai – 400055
5.	Corporate address	602-603, Amar Business Park, Baner Rd, opp. Sadanand Resort, Pune, Maharashtra 411045
6.	E-mail id	ESG.Sustain@cie-india.com
7.	Telephone	022-62411031
8.	Website	www.cie-india.com
9.	Financial year reported	1 st January, 2023 to 31 st December, 2023
10.	Name of the Stock Exchanges where shares are listed	BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE)
11.	Paid-up Capital	` 3,79,36,23,770/-
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Ashok Bhimanpalli, Head (Safety and Sustainability) Telephone: 020-29804621 Email: ESG.Sustain@cie-india.com
13.	Reporting boundary	Standalone
14.	Name of Assurance Provider	NA
15.	Type of assurance obtained	NA

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing	Metal and metal products	92%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Crankshaft/ Stub axle as forged and machined, Steering shaft/ wheel hub/steering yokes/ constant velocity joints, Steel metal stamping/Components and assemblies, Soft and Hard Magnet	25910	73%
2	Turbo chargers housing/ Axle and transmission Parts	24319	14%
3	Engine Gear/ Timing Gear/ Drive Shaft	28140	8%



III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	25	02	27
International	Nil	Nil	Nil

19. Markets served by the entity:

a. Number of locations	
Locations	Number
National (No. of States)	13
International (No. of Countries)	19
b. What is the contribution of exports as a percentage of the total turnover of the Company?	10%
c. Types of customers	The Company is a large, diversified auto-components company which serves its customers across many processes/ product lines and geographies. It supplies to automotive Original Equipment Manufacturers (OEMs) and their Tier 1 suppliers across multiple technologies. For more details regarding the same, you may kindly refer the Management Discussion and Analysis Report which forms part of the Company's Annual Report – 2023.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	1,601	1,545	97%	56	3%
2.	Other than Permanent (E)	3	2	67%	1	33%
3.	Total employees (D + E)	1,604	1,547	96%	57	4%
WORKERS						
4.	Permanent (F)	2,665	2,654	99.59%	11	0.41%
5.	Other than Permanent (G)	6,263	6,185	98.75%	78	1.25%
6.	Total workers (F + G)	8,928	8,839	99%	89	1%



b. Differently abled Employees and workers:

S . No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	1	1	100%	0	0
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total differently abled employees (D + E)	1	1	100%	0	0
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	5	4	80%	1	20%
5.	Other than permanent (G)	0	0	0	0	0
6.	Total differently abled workers (F + G)	5	4	80%	1	20%

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	10	1	10%
Key Managerial Personnel	5	0	0%

22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

	CY 2023 (Turnover rate in current FY)			CY 2022 (Turnover rate in previous FY)			CY 2021 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	17.88%	21.69%	17.98%	14.74%	14.55%	14.74%	13.66%	20.51%	13.76%
Permanent Workers	1.83%	16.67%	1.86%	5.35%	0%	5.33%	2.98%	8%	3.01%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

Sl. No.	Name of the holding/ subsidiary/ associate companies/joint ventures (A)	Indicate whether Holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by the Company	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the Company (Yes/No)
1.	CIE Automotive S.A.	Ultimate Holding	NA	No
2.	Participaciones Internacionales Autometal, DOS S.L	Holding	65.70	No



Sl. No.	Name of the holding/ subsidiary/ associate companies/joint ventures (A)	Indicate whether Holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by the Company	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the Company (Yes/No)
3.	CIE Galfor S.A.	Subsidiary	100	No
(i)	UAB CIE LT Forge	Subsidiary	100	No
(ii)	CIE Legazpi S.A	Subsidiary	100	No
(iii)	CIE Forging Germany GmbH (previously known as Mahindra Forgings Europe AG) ¹	Subsidiary	100	No
(iv)	Metalcastello S.p.A.	Subsidiary	99.96	No
4	CIE Aluminium Casting India Limited (Formerly known as Aurangabad Electricals Limited)	Subsidiary	100	No
5	Stokes Group Limited ²	Subsidiary	100	No
6	BF Precision Private Limited ³	Subsidiary	100	No
7	Bill Forge de Mexico s de RL de CV	Subsidiary	100	No
8	CIE Hosur Limited	Subsidiary	100	No
9	Gescrap India Private Limited	Associate	30	No
10	Clean Max Deneb Power LLP	Associate	26	No
11	Sunbarn Renewables Private Limited	Associate	26.12	No
12	Renew Surya Alok Private Limited	Associate	31.2	No
13	Strongsun Solar Private Limited	Associate	27.35	No

Notes:

1. During the year Jeco Jellinghaus GmbH, Gesenkschmiede Schneider GmbH, Falkenroth Umformtechnik GmbH and Schoneweiss & Co. GmbH (Subsidiaries of CIE Forging Germany GmbH ("CFG" (previously known as Mahindra Forgings Europe AG) were ceased to be subsidiaries w.e.f. 16th October, 2023.

2. During the year, Stokes Group Limited stands dissolved w.e.f. 5th September, 2023

3. BF Precision Private Limited is operationally closed.

VI. CSR Details

24.	(i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)	Yes
	(ii) Turnover (in `) (For the previous FY ended on 31 <sup>st</sup> December, 2022)	` 4056,05,54,570.57/-
	(iii) Net worth (in `) (as on the previous FY ended on 31 <sup>st</sup> December, 2022)	` 3158,21,09,219/-



VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom compliant is received	Grievance Redressal Mechanism in place (Yes/No) (If yes, then provide weblink for grievance redressal policy)	CY2023			CY2022		
		No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks	No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks
Investors (other than shareholders)	Yes https://www.cie-india.com/investor-contacts.html	0	0	NA	0	0	NA
Shareholders	Yes https://www.cie-india.com/investor-contacts.html	11	02*	Resolved**	7*	2	Resolved **
Employees and workers	Any stakeholder can report their genuine concerns through the Whistle Blower Channel available at the weblink: https://www.cie-india.com/assets/pdf/ethical-channel/whistle-blower/Whistle%20Blower%20Policy.pdf The grievances are redressed in accordance with the Whistle Blower Policy of the Company. Apart from the Whistle Blower Mechanism, the ESG Policy of the Company provides dedicated communication channels through which the Company may receive grievances of the Stakeholder. The Company will endeavour to redress the same in accordance with the principles laid down under the Policy. Further, the Global contact for any issue related to ESG available under CIE Group's Global ESG Policy, details of which are available at the weblink: https://cieautomotive.com/en/contacto . The Company will endeavour to redress the same in accordance with the principles laid down under the Global Policy.	7	1##	NA	1	1	NA
Communities		0	0	NA	0	0	NA
Value chain partners		0	0	NA	0	0	NA
Customers #		823	23	Under resolution	442	0	Closed



Stakeholder group from whom compliant is received	Grievance Redressal Mechanism in place (Yes/No) (If yes, then provide weblink for grievance redressal policy)	CY2023			CY2022		
		No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks	No. of complaints filed during the year	No. of complaints pending resolution at close of the year	Remarks
Others (please specify)	Not applicable						

*The number of complaints pertains to complaints in relation to shareholder services and not related to any principles under the National Guidelines on Responsible Business Conduct.

**The grievances were received in December 2022 and December 2023 and were resolved after the closure of the financial year i.e. in CY 2023 and CY 2024 within the statutory timelines.

The number of complaints pertains to the complaints received from customers in the normal course of business relating to operational issues and are resolved within the prescribed standard timeline as per the SOPs of the Company.

The Complaint was received during the CY2023 and was resolved after the closure of Financial Year i.e. in CY 2024 within due timelines.

26. Overview of the entity's material responsible business conduct issues

Material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications

Company's Approach: Conducting a Materiality Assessment to identify issues needing focus and prioritization is a critical step in a company's sustainability journey. As a subsidiary of the CIE Automotive Group, CIE India has aligned its material issues to that identified by its parent company. We have further honed these issues to cater to the country-specific needs of CIE India. The identified material issues have served as our guide in understanding stakeholder expectations, setting targets, and undertaking relevant initiatives that will enable us to continue delivering long-term value to our customers, shareholders, employees, and communities.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R / O)	Rationale for identifying the risk/ opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
Social Matters					
1.	Attracting and retaining talent	Risk	Management of the current and projected pace of growth requires consolidation and development of the company's finest asset, its people. The need to continuously hire, train and retain professionals is set to remain a major challenge in the years to come. High staff turnover makes it hard to operate at normal levels and achieve the company's targets. That is why it is fundamental to agree a unified training and promotion plan with the aim of planning, appraising and enhancing professionals' current and future skillsets so as to facilitate delivery of Company's strategic objectives.	The Company is continually improving its employment terms and conditions to make them induce for its existing people and to attract new talent to the organization. Factory managers and HR managers periodically assess the situation at their factories for the risk of losing talent, especially in critical positions, and take the measures required to retain key talent and plan for succession as needed. In accordance with our Employee Value Proposition (EVP), we have rolled out career development programs for employees through Individual Development Action Plans (IDAPs). The focus is to upskill the workforce and create internal opportunities in terms of career progression for our employees. Coaching has been introduced in the organization; senior managers have been trained as coaches who in turn coach the employees on their IDAPs.	The financial implication of the risk cannot be quantified. However, in case the risk is materialized, the impact will be negative.



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R / O)	Rationale for identifying the risk/ opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
				- The process for succession planning has been designed, implemented and rolled out across the organization. - We are continually focusing on building a strong young talent pipeline of engineers and have specially crafted yearly learning plans for young engineers hired as freshers from campuses. - The organization has in place a Diversity, Equity and Inclusion Conceptual model and has adopted targets for Gender, Generation, Functional and Multicultural Diversity. The company has introduced Diversity awareness and sensitization programs for its managers. - To drive the culture of recognition driving performance there is a strong focus on the Recognition practices. - Further to drive performance culture, the company has redesigned its Leadership Competency Model which is incorporated in the Performance Management Systems. - The organization is evolving with its HR practices and policies to improve on employee engagement and experience.	
2.	Customer Satisfaction	Risk as well as Opportunity	Challenges in management of new projects and/or operations could lead to failure to attain the defined specifications and, possibly, breaches of contract. (e.g., delivery times, milestones, or quality).	The Company places a strong emphasis on customer responsiveness, with a focus on meeting customer expectations at every stage of the business relationship. Several key business processes contribute to ensuring customer satisfaction: Sales Process: sales process is designed to effectively search for and secure new business with the overarching goal of customer satisfaction. The company analyzes customer requirements, specifications, and needs during this phase. Technical, quality, and supply chain reviews are conducted with the customer to ensure proposals align with customer expectations.	Both Positive and Negative.



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
				Launch and Industrialization: If the company secures new business, it ensures that the launch and industrialization of the project meet the highest standards. This includes the use of control tools such as product and process Failure Mode and Effects Analysis (FMEA), product and manufacturing validations, control plans, prototype launches, samples, and ongoing revision of customer specifications, with a focus on special characteristics and regulatory and safety considerations. Mass Supply: Once the agreed launch standards are attained, mass supply begins, framed by procedures and tools that comprise set processes. These processes are aligned with stringent sector standards and undergo continuous internal and third-party audits. The company's commitment to customer satisfaction extends beyond these specific processes. It involves various group-wide processes that contribute to ensuring customer satisfaction, knowledge transfer to projects, the availability of top-quality suppliers, and the effective use of people, resources, and technology to meet customer demands. This comprehensive approach reflects a customer-centric mindset and a dedication to delivering high-quality products and services.	
3.	Occupational Health and Safety	Risk	The management have ensured that the people are working in a safe environment. Even the machines/equipment procured are not only proven for process consistencies but are also proven to ensure safety requirements. The management have taken every possible step to provide training to the workmen. However, the complexities arises since we are working in a dynamic scenario where people and machines undergo changes and hence the most important aspect is discipline, which is why this is identified as a Risk.	As The company places a strong emphasis on health and safety for all its people working at all our manufacturing & offices. And implemented ISO 45001 certification for all its 25 manufacturing locations except 1 location which will be certified in CY 2024. Continuous improvement of safety culture is acknowledged as a journey, and the management is actively involved in upgrading processes and procedures across all plants. Monitoring progress and adherence to safety standards, along with behavior-based trainings, are integral to this journey.	The financial implication of the risk cannot be quantified. However, in case the risk is materialized, the impact will be negative



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R / O)	Rationale for identifying the risk/ opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
				Key initiatives and actions undertaken in the CY23 include: • Safety Lead Indicators: The focus on improving five key safety lead indicators demonstrates the commitment and accountability of line managers in safety and health management at manufacturing facilities. This commitment has led to a significant improvement in overall safety and health performance. • Safety Trainings: Employees receive safety training tailored to the risks associated with their jobs through the Dexterity Centre at all manufacturing locations. • 12 Life Saving Rules: More than 4000 employees and workers received training on 12 life saving rules which includes hazard identification, risk assessment, and risk mitigation during work and off-work. • Specialized Trainings: Specialized training on Work at Height and Confined Space working was provided to identified employees and workers. • Behavioral Based Safety: Behavioral-based training was given to all identified employees and workers to improve workplace safety. • Employee Involvement & Recognition: Employees and workers are involved in maintaining a clean, safe, and healthy environment through consultation and participation. Recognition and rewards are provided to employees on a weekly and monthly basis for their suggestions, kaizens and improvements towards health and safety. These initiatives collectively reflect a holistic approach to health and safety management, encompassing training, behavioral aspects, continuous improvement, and employee involvement. This approach aligns with industry standards and best practices for ensuring a safe and healthy working environment.	



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Responsible supply chain management	Opportunity	As a group, the approach towards supply chain is GLOCAL - global management with a significant local component - articulated around excellence. Excellence in cost containment, excellence in guaranteeing uninterrupted supplies, without neglecting quality, and excellence in getting the supply chain meaningfully engaged around ESG goals.	The Company has taken comprehensive steps to align its supply chain practices with global standards and best practices related to environmental, social, and governance (ESG) considerations: Adoption of Group's Global Supply Chain Manual & Conflict of Minerals Policy: The Company has adopted the Group's Global Supply Chain Manual and Conflict Minerals Policy, which reflects a commitment to responsible and ethical sourcing practices. Inclusion of ESG compliance clause in General Purchasing Terms & conditions: The Company has incorporated an ESG compliance clause in its General Purchasing Terms and Conditions. This underscores the importance of ESG considerations in its relationships with suppliers. Local Sourcing - The Company aims to continue driving local sourcing, emphasizing the importance of supporting local suppliers. ESG Audits & Process Audits - Specific ESG audits and process audits that include ESG considerations will be initiated. This signifies a proactive approach for and improving the ESG performance of suppliers. ESG Vendor Meet - The promotion of the ESG Suppliers Day event is designed to bring small and medium-sized suppliers into contact with ESG practices. This event serves as a platform to foster awareness and collaboration on ESG matters among suppliers. Environmental Assessment of Non-Productive or Indirect Suppliers-The Company plans to initiate environmental assessments of non-productive or indirect suppliers. This broadens the scope of ESG considerations to include suppliers beyond direct production. These initiatives collectively highlight the Company's commitment to promoting sustainability throughout its supply chain, ensuring responsible sourcing, and actively engaging with suppliers to enhance ESG practices.	Positive, it will help in reducing GHG Emissions.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R / O)	Rationale for identifying the risk/ opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
Environmental Matters					
5.	Circular Economy – efficient use of raw material and waste management	Opportunity	Steel as a raw material is highest associated volume of use as well as waste which may not be recycled in full within companies' factories. Responsibility for waste generation does not end when that waste is removed from Company's facilities. To that end, in addition to its waste minimization plans, it must devise an efficient waste classification system thereby seeking to reduce its environmental impact.	The CIE Automotive Group's commitment to moving towards a circular model signifies a proactive stance toward sustainability and environmental responsibility. Several key points highlight the Company's efforts in this direction: Reduction in Raw Material, Water, and Energy Consumption: The Company is actively working to reduce raw material, water, and energy consumption. This aligns with the principles of a circular economy, emphasizing the importance of minimizing resource use and maximizing efficiency. Waste Reduction: The circular model approach involves efforts to minimize waste year after year. This indicates a commitment to not only efficient resource utilization but also to reducing the environmental impact associated with waste generation. Action across the value chain: The Company's commitment extends across its entire value chain, indicating a comprehensive approach to sustainability. This includes considering the environmental impact of operations from the procurement of raw materials to products exit from gate. Energy Efficiency Measures: The introduction of energy efficiency measures throughout processes and facilities is a strategic move. This not only helps minimize the environmental impact but also contributes to reducing energy costs, showcasing a dual benefit of sustainability and cost-effectiveness. Projects for Optimization and Efficiency: The Company has been actively undertaking projects to optimize the use of raw materials and increase efficiency. This reflects a commitment to continuous improvement and innovation in line with sustainability projects & goals. By aligning its operations with the principles of a circular economy, the Company is positioning itself as a responsible corporate entity actively contributing to environmental conservation and resource efficiency. The focus on energy efficiency, waste reduction, and optimization projects collectively demonstrates a commitment to sustainable practices throughout the business.	Both Positive and Negative



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
6.	New forms of mobility	Risk as well as Opportunity	Electrification of powertrains has seen rapid adoption in Europe with share of battery electric vehicles (EVs) in the light vehicles segment reaching 12% in CY23 and expected to reach 48% by CY2028. In India, the transition to electric mobility is expected to be more gradual especially in 4W though certain segments like 3W and 2W may see rapid adoption of EVs. The highest risk arising from this transition to EVs is at our forging plants. Both in India & Europe, the Company is a market leader in key internal combustion engine parts like crankshafts. Such parts are at risk of obsolescence when EVs become mainstream. As the exposure to such parts in Europe is higher and the pace of transition to EVs more rapid, the risk to sales for our European business is significant. We also have a clear action plan to alleviate this risk. In India, given the slow introduction of 4W EV's, our lower exposure on engine parts and a good order book for EV parts, for local and exports, we see the risks of EV transition in India being minimal, rather we think it is more of an opportunity. As the supplier ecosystem of EVs is at a nascent stage, EV OEMs are looking to partner with suppliers who have quality and pedigree. Therefore, as a high-quality supplier of automotive parts, we consider the transition to EVs to be more of an opportunity than a risk.	The risk posed by electrification is higher in our European operations and our mitigation plan in Europe is to substitute production of crankshafts by Aluminum forged parts and steel parts that will not be affected by transition to electric vehicles. We have got interesting new orders on those, and some of them are already in production in our plants. In addition, the Gears plant in Europe is developing a healthy order book in electric vehicle transmission parts. In India, transition to EVs is more an opportunity than a risk. Our EV order book in India is spread across aluminum & steel castings, steel forgings, gears, stampings, and composite parts for e2W, e3W and e4W segments. We are investing to expand capacity in India to meet the EV order book requirements. Our diversified technology, product and customer portfolio allows us to address the requirements and risks emerging from EV transition in an effective manner. We are working with major European and Indian OEMs and Tier 1s in the EV space across vehicle segments. We plan to remain agile enough to adapt to future customer needs and emerging trends.	Both Positive and Negative



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Environmental Impact	Risk as well as opportunity	The climate emergency has prompted CIE Automotive Group to strengthen its commitment to carbon neutrality and accordingly CIE Automotive S.A. has joined the SBT initiative and have set-up the clear target of achieving neutrality by no later than 2050, implying medium-term targets to limit global warming to 1.5° C.	The Company's commitment to environmental management is outlined through its adherence to the ISO 14001 standard and specific actions to minimize environmental impact. Several key points highlight the Company's environmental management efforts: ISO 14001 Certification Status: Out of the 25 plants, 24 are already certified for the ISO 14001 management standard. The remaining 1 plant will go for certification in CY 2024. Focus on Air Quality & Pollution Control- The Company's management systems prioritize control over impacts on air quality and pollution. This involves identifying potential risks and implementing local action plans to eliminate or mitigate them, in accordance with applicable legislation. Key Actions on Environmental Impact Reduction- The outlined key actions reflect the Company's commitment to minimizing its environmental impact and promoting sustainability. These actions encompass various aspects: • Energy from Renewable Sources - Emphasizing the use of energy generated from renewable sources contributes to a cleaner energy mix. • Materiality Circularity - Promoting material circularity aligns with the principles of a circular economy, aiming to minimize waste and promote recycling. • Responsible Use of Water - Ensuring responsible water use reflects a commitment to sustainable water management. • Energy Efficiency in Processes - Implementing energy-efficient processes contributes to reducing overall energy consumption. • Reduced Waste Generation - The focus on reducing waste generation aligns with environmental conservation objectives. • Use of Cleaner Fuel - Transitioning to cleaner fuel options contributes to air quality improvement.	Both Positive and Negative

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	Approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
				Green Belt Development - Initiatives for green belt development contribute to enhancing the ecological surroundings. Bio-Gas Plant Set up - The establishment of bio-gas plants at four locations underscores a commitment to sustainable and renewable energy practices. These actions collectively showcase a comprehensive approach to environmental stewardship, encompassing various facets of resource use, energy efficiency, waste reduction, and overall sustainability.	

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes										
1.	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y Note 1	Y	Y
	b. Has the policy been approved by the Board? (Yes/No)	Y Note 2	Y Note 2	Y Note 2	Y Note 2	Y Note 2	Y Note 2	Y Note 2	Y Note 2	Y Note 2
	c. Web Link of the Policies, if available	Y Note 3	Y Note 3	Y Note 3	Y Note 3	Y Note 3	Y Note 3	Y Note 3	Y Note 3	Y Note 3
2.	Whether the entity has translated the policy into procedures. (Yes / No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3.	Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4.	Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
5.	Specific commitments, goals, and targets set by the entity with defined timelines, if any.	The Company's participation in CIE Automotive Group's 5-year ESG Strategic Plan 2025 reflects a commitment to specific targets and key performance indicators (KPIs) that contribute to sustainability. Several key points highlight the Company's efforts in this regard: Alignment with Group Level Targets- The Company is aligning its efforts with the broader goals and KPIs set out in CIE Automotive Group's 5-year ESG Strategic Plan 2025. This ensures a cohesive and coordinated approach to sustainability across the entire group. Undertaking Specific Targets & KPI- The Company has undertaken following specific targets and goals: • Increase in the share of renewable energy 60 % by 2024 and 100% by 2030 • ISO 50001 (Energy Management System) Certification of all plants by 2027 • Water Positive by 2030 • CO2 Emission reduction across value chain • Gender Diversity – 5% by 2025 for Assistant Manager and above level • Reduction in accident rates (LTIFR)- 15% reduction year on year • HSE Training for identified employees – 100% by 2024 • Increase Beneficiaries of CSR Project- 5% by 2024 and 10% YOY from CY 2025 onwards • Impact assessment of CSR Projects-100% by 2025 • TISAX (Information Security for Automotive Industry) Certification by 2025 Sustainability Projects Implementation – Various projects have been initiated under 10 different categories to address the identified sustainability goals. Sustainability Council Oversight- The implementation and outcomes of these projects are subject to regular review by the Sustainability Council. This ensures ongoing monitoring, evaluation, and adjustment of sustainability initiatives. Details in the Sustainability Section in Annual Report- The specific details of the projects undertaken, and their outcomes are provided in this report, specifically under point number 4 of leadership indicators of Principle 6. This transparency in reporting showcases a commitment to accountability and disclosure. Formulation of ESG Roadmap- In line with its ESG Policy and the overarching goals of CIE Group's 5-year ESG Strategic Plan 2025, the company has formulated its ESG Road Map. This roadmap includes India-specific short-term, medium-term, and long-term goals aligned with the broader objectives of the parent company.								
6.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.									



Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Notes: - The Company is member of trade and industry chambers like The Automotive Component Manufacturers Association of India (ACMA), The Confederation of Indian Industry (CII) and Maharashtra Chamber of Commerce and Industries (MCCI). The Company has formulated Environmental, Social and Governance Policy which include that the Company should operate the business within national and international legislative and policy framework and not engage in influencing public and regulatory policy. However, the Company may become members of trade and industry chambers or associations and other similar collective platforms, which may be involved in conveying industry concerns to policy makers. - The Board of directors of the Company have approved the policies required to be framed under Companies Act, 2013 and SEBI Regulations including Internal Code of Professional Conduct, Whistle Blower Policy, CSR Policy, Code for fair disclosures, Policy on Related Party Transactions and these policies are signed by respective officers authorized by the Board for its implementation. Other operational internal policies are approved by management and signed by the respective business head. Further, the Company has also adopted a few global policies framed by CIE Automotive S.A. the ultimate holding company. - It has been Company's practice to upload all policies on internal server or display at prominent places in respective locations or shared with relevant stakeholders for the information and implementation by the internal stakeholders. The Internal Code of Professional Conduct, Whistle Blower Policy, CSR Policy, Code for fair disclosures, Policy on Related Party Transactions, Environmental, Social and Governance Policy are available on the website the https://www.cie-india.com/assets/pdf/governance/policies/Internal%20Code%20of%20Professional%20Conduct.pdf - The policies are in line with international standards and practices such as ISO 9001, IATF Guidelines, ISO 14001, ISO 45001 and meet National regulatory requirements such as the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.										
Governance, leadership and oversight										
7.	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	The Company is committed towards sustainable development through continued and targeted efforts towards environment, social and governance aspects of our business. In line with our global company direction, we have identified following areas through our materiality assessment as: Social: 1. Attracting and retaining talent, 2. Customer Satisfaction, 3. Occupational Health and Safety, 4. Responsible Supply Chain Management, Environment: 1. Circular economy-efficient use of raw material, and waste management, 2. New form of mobility, 3, Environment Impact The Company continued its focus on increasing the share of green energy in total energy consumption during CY-2023. The combined capacity of captive power plants, including wind energy, is 95 MW. Additionally, rooftop solar panels with a capacity of 6.4 MW were installed. The proportion of renewable energy consumption to total energy consumption reached about 57% in CY-2023. The Company remains committed to a circularity model, with an emphasis on better managing natural resources. Monitoring resource consumption and waste generation is a priority to minimize environmental impacts.								

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
		As part of the Group's ESG (Environmental, Social, and Governance) Strategic Plan, the company has specific targets related to supplier relations and ethics compliance. Key objectives include conducting supplier audits based on ESG criteria, enrolling and registering suppliers on the Supplier Portal (with a specified annual purchase volume threshold), increasing purchases from local suppliers, and ensuring 100% employee completion of Code of Conduct training. The Company has formulated an ESG Road Map with specific short-term, medium-term, and long-term targets and goals. These goals are aligned with the ESG Strategic Plan of the CIE Group and the ESG Policy of the Company, indicating a comprehensive and integrated approach to sustainability and responsible business practices. 1. Increase in the share of renewable energy 60% by 2024 and 100% by 2030 2. ISO 50001 (Energy Management System) Certification of all plants by 2027 3. Water Positive by 2030 4. CO2 Emission reduction across value chain 5. Gender Diversity – 5% by 2025 for Assistant Manager and above level 6. Reduction in accident rates (LTIFR)- 15% reduction year on year by 2024 7. HSE Training for Identified employees – 100% by 2024 8. Increase Beneficiaries of CSR Project- 5% by 2024 and 10% YOY from CY 2025 onwards 9. Impact assessment of CSR Projects-100% by 2025 10. TISAX (Information Security for Automotive Industry) Certification by 2025								
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	The Sustainability Council, formed as per the ESG Policy of the Company is the highest authority responsible for implementation and oversight of the Business Responsibility policies.								
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, the Board has nominated Mr. Manoj Mullassery Menon, Executive Director (DIN: 07642469) who is responsible for decision making on sustainability related issues								



Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
10.	Details of Review of NGRBCs by the Company:									
	Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee								Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)
		P1	P2	P3	P4	P5	P6	P7	P8	P9
	Performance against above policies and follow up action	The performance against the policies and follow up actions is reviewed by the Sustainability Council on quarterly basis.								
	Compliance with statutory requirements of relevance to the principles and rectification of any non-compliances	The Company is in compliance with all the statutory requirements relevant to each principle. A certificate confirming compliance with all the statutory requirements applicable to the Company is placed before the Board of Directors on quarterly basis.								
11.		P1	P2	P3	P4	P5	P6	P7	P8	P9
	Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	The Company has ISO 45001 certification for Occupational Health and Safety Management System, and ISO 14001 certification for Environmental Management System. As per the certification requirements of these standards, external audits were conducted by TUV Rheinland at relevant facilities which are certified. Apart from surveillance and certification audit mentioned above no other assessment/ evaluation was conducted by any external agency concerning working of policies.								

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1 Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

The Company's actions are guided by its corporate values, which underpin the body of internal rules put in place to ensure that its members behave ethically and are in turn complemented by compliance oversight and breach remedy mechanisms.

The Company has adopted Group's internal Code of Professional Conduct which expresses the corporate values that guide behavior of professionals within the Company, together with the general guidelines of conduct that orient the Company's decision making.

The Code provide guidance and ethical principles which guide all directors (whether executive, non-executive or Independent), Senior Management Personnel's, Key Management Personnel's, all other employees and workers of the Company (“the people”), determining the values and commitments that must govern their work activities within the Group.

The Company keeps utmost transparency, in keeping with the principles laid down in its Code of Professional Conduct and comply with the applicable laws, including the corporate governance and the principles of cooperation and transparency in dealing with its stakeholders.

Essential Indicators**1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:**

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	% age of persons in respective category covered by the awareness programmes
Board of Directors	1	Training Program on 12 Life Saving Rules under Occupational Health and Safety During the year, the Board of Directors of the Company (including its Committees) has invested time on various updates comprising matters relating to an array of issues pertaining to the business, regulations, economy and environmental, social and governance parameters.	10%
Key Managerial Personnel	3	1. ESG specific training programs were organized by the Company during the year on : 1. GRI Standards, ESG Awareness Session was conducted during the year, Training Program on 12 Life Saving Rules under Occupational Health and Safety Further, the KMPs have also participated in various programmes/sessions/ conferences/ seminars organized by Industry associations, educational institutions, Chamber of commerce, etc.	33%



Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	% age of persons in respective category covered by the awareness programmes
Employees other than BoD and KMPs	38	ESG specific training programs were organized by the Company during the year on: 1. Behavior Based Safety 2. Code of Conduct 3. Fire Safety Awareness 4. First Aid 5. Incident Management Procedure Awareness 6. Mental Health & Wellbeing 7. Near Miss Identification 8. PPE's 9. Work at Height & Confined Space 10. Work Permit System	80%
Workers	24	1. Behavior Based Safety 2. Code of Conduct 3. Fire Safety Awareness 4. First Aid 5. De addiction 6. Safe Material Handling 7. Emergency Response Awareness 8. Work at Height & Confined Space 9. HIRA & OCP 10. Work Permit System 11. Paint and Thinner Handling Safety 12. Safety Simulators & 5 Senses 13. Mental health & well being	75%

2. Details of fines / penalties / punishment / award / compounding fees / settlement amount paid in proceedings (by the Company or by directors / KMPs) with regulators / law enforcement agencies / judicial institutions, in the financial year, (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	Principle 6	Gujarat Pollution Control Board	6,270,000	The Gujarat Pollution Control Board (GPCB) has on 24th August, 2023, directed the Company to pay an interim Environmental Damage Compensation (EDC) of INR 6.27 million for alleged violation of the Water (Prevention and Control of Pollution) Act 1974 (the Water Act). The EDC was levied while taking on record the submissions of the Company regarding the due compliance of the direction issued by the GPCB in respect of augmentation of and increase in capacity of Effluent Treatment Plant (ETP) and Sewage Treatment Plant (STP) of Company's plant of Gears Division at Rajkot. The Company has paid half of the EDC. On the basis of the submissions made by the Company, GPCB has approved Company's renewal cum amendment application and issued a provisional Consolidated Consent and Authorization dated 24th August 2023. We would like to assure you that the Company is committed to implement its Environmental, Social and Governance (ESG) Policy in letter and spirit and has robust mechanism for ensuring compliance with the Applicable Laws. While we take observations of the authorities as an opportunity to further strengthen our facilities and processes and have accordingly implemented the suggestions as per the Direction of GPCB.	No



Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
	Principle 1	Asst. Commissioner Division Rudrapur	619,929	The Order passed by the Asst. Commissioner, CGST Division Rudrapur making a demand of INR 619,929/- under Rule 14 of the CENVAT Credit Rules, 2002 read with proviso to Section 11A of the Central Excise Act, 1944 (the Act). The Order further levies an Interest of INR 619,929/- under Section 11AA of the Act and a Penalty of INR 619,929/- under section 11AC of the Act for alleged violation of Rule 6(3) of the CENVAT Credit Rules, 2004. (Order-in-remand proceedings).	Yes
	Principle 1	State Tax Officer (Rajkot), Office of the Assistant Commissioner of State Tax, Rajkot,	20,000	In relation to the issue of Excess claim of ITC, a demand of CGST of INR 55264/- and GGST of INR 55264/- (INR 110528/- in aggregate) under the GST Act on account of excess Input Tax Credit (ITC) claimed for the Financial Year 2017-18 covering the Tax period July-17 to March-18 is raised by the Authority. The Order further levies an Interest of INR 114301/- under Section 50 of GST Act and a Penalty of INR 20000/- under Section 73 of the GST Act on account of the above.	No
	Principle 1	Directorate General of GST Intelligence (Adjudication Cell), New Delhi	54,871	A demand of Central Excise Duty of INR 54871/- under Section 11A(10) of the Central Excise Act is raised by the Authority. The Order further levies an Interest of INR 16,010/- under Section 11AA of the Act and a Penalty of INR 54,871/- under Section of the 11AC (1) (c) of the Act. This Order is passed against erstwhile Bill Forge Private Limited which is now merged with the Company for the period 2014-15 to 2017-18.	No

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
	Principle 1	Assistant Commissioner of Central Tax Sangareddy CGST Division, Miyapur, Hyderabad	Penalty in terms of provisions of Section 122 (2)(a) read with Section 73 (9) of the CGST Act, 2017 and TSGST Act, 2017 read with Section 20 of IGST Act, 2017	A demand for the period from July 2017 to March 2020 of (i) INR 2,585,151/- towards IGST, CGST and SGST and imposing penalty in terms of provisions of Section 122 (2) (a) read with Section 73 (9) of the CGST Act, 2017 and TSGST Act, 2017 read with Section 20 of IGST Act, 2017 and (ii) INR 2,554,352/- towards CGST and SGST and imposing penalty in terms of provisions of Section 122 (2)(b) read with Section 74 (9) of the CGST Act, 2017 and TSGST Act, 2017 read with Section 20 of IGST Act, 2017. The Order further levies an Interest in terms of provisions of Section 50 of CGST Act, 2017 and TSGST Act, 2017 read with Section 20 of IGST Act, 2017.	No
Settlement	Nil				
Compounding fee					
Non-Monetary					
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions		Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	Nil				
Punishment					



3. Of the instances disclosed in Question 2 above, details of the Appeal / Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/enforcement agencies/judicial institutions
The authority is making a demand of INR 619,929/- under Rule 14 of the CENVAT Credit Rules, 2002 read with proviso to Section 11A of the Central Excise Act, 1944 (the Act). The Order further levies an Interest of INR 619,929/- under Section 11AA of the Act and a Penalty of INR 619,929/- under section 11AC of the Act for alleged violation of Rule 6(3) of the CENVAT Credit Rules, 2004. (Order-in-remand proceedings). The Company has preferred an appeal before Hon'ble Goods and Services Tax Appellate Tribunal against the Order-in-First Appeal and the issues that are involved in the Order-in-remand proceedings are inter-alia part of this appeal. The company is contesting the matter on merits.	Hon'ble Goods and Services Tax Appellate Tribunal

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, the provisions on anti-corruption and anti-bribery are forming part of Internal Code of Professional Conduct of CIE Automotive India Limited ('the Company/CIE India') wherein CIE India strictly prohibits any behaviour or practice of corruption, bribery and peddling of influence in connection with clients, suppliers, business partners and public officials or institutions, national or international, including those related to money laundering. It encourages payments in electronic mode and maintenance of proper records Also, the weblink of the same is <https://www.cie-india.com/assets/pdf/governance/policies/Internal%20Code%20of%20Professional%20Conduct.pdf>.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery / corruption:

	FY 2023	FY 2022
Directors	Nil	
KMPs		
Employees		
Workers		

6. Details of complaints with regard to conflict of interest

	FY 2023		FY 2022	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil			
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators / law enforcement agencies / judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable



8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following:

	CY2023 (Current Financial Year)	CY 2022 (Previous Financial Year)
Number of days of accounts payables	67 Days	61 Days

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties:

Parameter	Metrics	CY 2023 (Current Financial Year)	CY 2022 (Previous Financial Year)
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	10.93%	11.02%
	b. Number of trading houses where purchases are made from	1,078	916
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	56.43%	62.03%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	0.28%	0.35%
	b. Number of dealers / distributors to whom sales are made	27	27
	c. Sales to top 10 dealers/ distributors as % of total sales to dealers / distributors	86.05%	85.03%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	8.76%	8.48%
	b. Sales (Sales to related parties / Total Sales)	48.38%	48.70%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	63%	54%
	d. Investments (Investments in related parties / Total Investments made)	69%	76.47%



Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1.	- ESG Sensitization - BRSR requirements - CIE ESG Journey & Strategic Plan 2025 - Value Chain Management - Expectation from Value Chain Partners - Vendor appreciation	44.72% of invited suppliers have undergone the awareness Programme in FY 23.

2. Does the entity have processes in place to avoid / manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the Company has processes in place to avoid/manage conflict of interests involving members of the Board. The Director shall adhere to the disclosure requirements and approval processes as specified under 'Policy on materiality of and dealing with Related Party Transactions' of the Company and provisions of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Further the "Internal Code of Professional Conduct" (also known as "the Code") has been adopted by the Board of Directors of the Company and is applicable to all directors (executive, non-executive, or independent), senior management personnel, key management personnel, and all other employees and workers of the Company. The Code provides direction and ethical principles to these individuals that must guide their work activities within the Group. The Code specifically requires any person that considers that they are potentially in a situation of conflict of interests owing to their other activities outside the Group, family relationships, personal assets or any other reason, should immediately notify this fact to the Human Resources Department or the Compliance Department, so that they may analyze the existence or not of the conflict of interest and, in the event of such a conflict, the head of the unit can exclude the person from participating in the process where the conflict of interest exists.

PRINCIPLE 2 Businesses should provide goods and services in a manner that is sustainable and safe

The Company is an auto-component supplier to OEMs and their Tier-1 suppliers. Our products are manufactured as per the specifications provided by the Customers. Thus, we are more a Process Company than a Product Company. Here are few list of such initiatives.

Resources Efficient & low Carbon processes- The Company is committed to deploying resource-efficient and low carbon processes and technologies in its manufacturing operations. The goal is to minimize adverse environmental and social impacts associated with its operations.

Adaption of new technologies- The Company has embraced new technologies, in Gears Chakan, Gears Rajkot Unit 2, Bill Forge 2D Plant. All these plants expanded and set up with resource and energy-efficient equipment and technology demonstrating a commitment to modern and sustainable manufacturing practices.

Yield Improvement Projects- Various projects focused on yield improvement have been undertaken. The objective includes reducing waste generation and increasing the use of recycled materials, aligning with resource efficiency goals and supporting a circular economy.

Business & Product Development- Business development and new product development teams actively interact with customers. Fulfillment of PPAP (Production Part Approval Process) requirements highlights a commitment to quality standards and customer satisfaction.

Waste Reduction & conservation initiatives- The Company continuously strives to minimize waste in materials and processing requirements. Conservation of energy and water is prioritized through various initiatives, showcasing a commitment to sustainability.



Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

S. No.	Particulars	Current Financial Year FY 2023	Previous Financial Year FY2022	Details of improvements in environmental and social impacts
1.	R & D	Nil	Nil	
2.	Capex	2.32	0.64	Green Energy Initiatives, Energy Efficiency improvement projects.

2. **a. Does the entity have procedures in place for sustainable sourcing? (Yes/No) - Yes**

- b. If yes, what percentage of inputs were sourced sustainably?**

a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)	Yes The Company has adopted "Supplier's ESG Commitment" which incorporates ESG factors, adherence of which each supplier of the Company must ensure. 100% of our Suppliers have signed the Supplier's ESG Commitment and have completed the self-evaluation required for registration on our "CIE Vendor Registration Portal".
b. If yes, what percentage of inputs were sourced sustainably? [Answer in %]	As mentioned above, 100% of inputs are sourced sustainability.

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.**

As mentioned above, the Company manufactures and supplies auto-components to OEMs and their Tier-1 suppliers. Accordingly, our customers are not the end users of the Products. The Company cannot reclaim the Products it manufactures.

Returnable PP bags are collected from the customers and used till end of life, post which is disposed to authorised partners. Plastic waste and other waste is sold to scrap dealers in compliance with applicable laws. E-waste is disposed of to state approved agencies for recycling. Hazardous waste collection, storage and disposal is done through respective State Pollution Control Board approved agencies for landfilling, pre-processing and incineration.

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

Yes. Obligation complied as per EPR target for FY 2022-2023 and Annual Return filed which is in line with the EPR plan submitted to Central Pollution Control Board (CPCB).

Leadership Indicators

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

No, the entity has not conducted any Life Cycle Perspective / Assessments (LCA) for any of its products.

The Company has planned LCA of few components parts in CY 2024.

2. **If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.**

Not Applicable



3. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

Particular	CY 2023* (Current Financial Year)			CY 2022* (Previous Financial Year)		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	0	0	216.5 MT	0	0	175.15 MT
E-waste	0	0	8.98 MT	0	0	8.929 MT
Hazardous waste	0	0	2,211.48 MT	0	0	2,021.453 MT
Other waste (Non-Hazardous Waste)	0	0	1,39,331.12 MT	0	0	85,501.971MT

*The Company cannot reclaim any of the products manufactured by it at the end of life of products. However, the figures mentioned above are pertaining to waste generated as a part of our manufacturing operations in above categories.

4. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Not applicable

PRINCIPLE 3 Businesses should respect and promote the well-being of all employees, including those in their value chains

The company prioritizes the welfare of its employees by championing equal opportunities and cultivating a positive work environment that enhances both physical and mental well-being. More precisely, the company commits to sustaining an occupational risk prevention system that ensures a wholesome healthy workplace.

The company is dedicated to providing its employees with favorable working conditions, fair remuneration commensurate with the nature of their work, and comprehensive training and safety conditions necessary for the effective execution of their roles. This commitment serves to enhance the well-being of our employees and extends to positively impact the lives of their families.

In a proactive approach to safeguard the well-being of all employees, the management consistently conducts occupational health examinations, periodic health check-ups, and workplace monitoring. These measures are implemented to ensure the ongoing good health and vitality of our valuable workforce.

In CY 2024, the company has strategically planned to conduct mental health and well-being sessions across all its plants.

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	1,545	1,539	100%	1,545	100%	NA	NA	1,133	73%	0	0.00%
Female	56	56	100.00%	56	100%	56	100%	NA	NA	6	11%
Total	1,601	1,595	100	1,601	100%	56	3%	1131	71%	6	0.37%
Other than Permanent employees											
Male	2	2	100%	2	100%	NA	NA	0	0%	0	0%
Female	1	1	100%	1	100%	0	0%	NA	NA	0	0%
Total	3	3	100%	3	100%	0	0%	0	0%	0	0%



b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	2,654	2,654	100%	2,654	100%	0	0.00%	0	0%	0	0%
Female	11	11	100%	11	100%	11	100%	0	0%	0	0%
Total	2,665	2,665	100%	2,665	100%	11	0.41%	0	0%	0	0%
Other than Permanent workers											
Male	6,185	1,928	31%	6,185	100%	0	0.00%	0	0%	0	0%
Female	78	23	29%	78	100%	12	15%	0	0%	0	0%
Total	6,263	1,951	31%	6,263	100%	12	0.19%	0	0%	0	0%

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) –

	CY 2023 Current Financial Year	CY 2022 Previous Financial Year
Cost incurred on well- being measures as a % of total revenue of the company	0.21%	0.22%

2. Details of retirement benefits, for Current FY and Previous Financial Year

Benefits	CY 2023 Current Financial Year			FY 2022 Previous Financial Year		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	75%	Y	100%	76%	Y
Gratuity	98%	30%	Y	98%	32%	Y
ESI	2%	49%	Y	3%	50%	Y
Superannuation	4%	0%	Y	5%	0%	Y
NPS	2%	0%	Y	1%	0%	NA

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

The Factory Buildings of the Company are equipped with ramps and handrails for staircases and the Office Premises are equipped with lifts to facilitate the movement of differently abled individuals.



4. Does the Company have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

It is one of the Group's basic principles to promote and provide equal opportunities to all in access to employment and career advancement, promoting a corporate culture based on merit. The policy on equal opportunity is part of Internal Code of Professional Conduct which can be accessed through below weblink: <https://www.cie-india.com/assets/pdf/governance/policies/Internal%20Code%20of%20Professional%20Conduct.pdf>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

	Permanent employees		Permanent workers	
Gender	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	NA	NA
Female	NA	NA	NA	NA
Total	100%	100%	NA	NA

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	The Company has a proactive grievance identification method. Employees and Workers participate in a meeting either monthly or weekly or through Employee Satisfaction Survey where opinion is solicited.
Other than Permanent Workers	
Permanent Employees	
Other than Permanent Employees	

7. Membership of employees and worker in association(s) or Unions recognised by the Company:

Category	CY2023			CY 2022		
	(Current Financial Year)			(Previous Financial Year)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	1,601	0	0	1,558	0	0%
- Male	1,545	0	0	1,522	0	0%
- Female	56	0	0	36	0	0%
Total Permanent Workers	2,665	2,326	87%	2,700	2,248	83%
- Male	2,654	2,316	87%	2,689	2,237	83%
- Female	11	10	91%	11	11	100%



8. Details of training given to employees and workers:

Category	FY 2023					FY 2022				
	Current Financial Year					Previous Financial Year				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No.(E)	% (E / D)	No. (F)	% (F / D)
Employee										
Male	1,547	1,210	78%	791	51%	1,525	990	65%	840	55%
Female	57	39	68%	23	40%	37	20	54%	13	35%
Total	1,604	1,249	78%	814	51%	1,562	1,010	65%	853	55%
Workers										
Male	8,839	1,820	21%	1,927	22%	8,347	1,661	20%	1,525	18%
Female	89	1	1%	12	13%	95	15	16%	15	16%
Total	8,928	1,821	20%	1,939	22%	8,442	1,676	20%	1,540	18%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2023			FY 2022		
	Current Financial Year			Previous Financial Year		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	1,547	1,428	92%	1,525	1,296	85%
Female	57	28	49%	37	20	54%
Total	1,604	1,456	91%	1,562	1,316	84%
Workers						
Male	8,839	253	3%	8,347	574	7%
Female	89	1	1%	95	0	0%
Total	8,928	254	3%	8,442	574	7%

10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, The company places a strong emphasis on health and safety, implementing an Occupational Health and Safety Management System and achieved ISO 45001 certification across all its facilities except 1 location. This location will be going for certification in 2024. The focus on routine health checks, occupational health examinations, and workplace monitoring further underscores the commitment to ensuring the well-being of employees. This proactive and systematic approach aligns with best practices for occupational health and safety management.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

The company's commitment to a comprehensive Health and Safety Management System, incorporating various tools and initiatives to ensure a safe working environment. Here's a breakdown of the key points:



Hazard Identification & Risk Assessment (HIRA) – Operating teams receive necessary training to conduct Hazard Identification and Risk Assessment (HIRA) for all routine activities at the plants. This proactive approach helps in identifying potential hazards and assessing associated risks, laying the foundation for effective risk management.

Job Safety Analysis (JSA) – JSA is a mandatory requirement for obtaining permits for all non-routine work. The use of JSA ensures that potential risks associated with specific tasks are thoroughly analyzed and addressed before work begins, promoting a systematic approach to safety.

Standard Operating Procedure's (SOPs) – SOPs are developed based on HIRA to reduce safety risks at plants. Having documented procedures helps standardize safe practices and provides guidelines for employees to follow, contributing to a safer work environment.

Behavior Based safety System (BBS) – In CY 2022, a Behavior-Based Safety System (BBS) was implemented. Trained operating level employees conduct plant tours to reinforce safe behavior among operators and identify areas for improvement on a monthly basis, emphasizing a proactive and participatory approach to safety.

Theme Based Safety Inspections – Theme-based inspections are conducted on a monthly basis. These inspections focus on specific themes, allowing for a targeted assessment of areas needing improvement within the overall safety management system.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes. We have a system of capturing unsafe acts, conditions and near misses. Worker's report to the shop floor supervisors all such hazards. To encourage reporting of such matters they are recognized in weekly reward and recognition program.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Annual medical check-up coverage is there for all the employees and workers. Health Awareness camps being organized in the plants on regular basis. Consulting Doctor visit the OHC centres at plants at regular intervals.

11. Details of safety related incidents, in the following format:

Safety Incident /Number	Category	FY2023	FY2022
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0.07	0.11
Total recordable work-related injuries	Employees	01	0
	Workers	01	03
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

The Company has a robust framework for workplace health and safety. Here are the key points:

Hazard Identification & Risk Assessment (HIRA) – All activities at the plant level undergo Hazard Identification and Risk Assessment. Mitigation controls are implemented to ensure that activities are carried out safely, reflecting a proactive approach to risk management.

Standard Operating Procedures & Training – SOPs are developed for activities, and shop floor employees are trained accordingly. Training ensures that employees are well-versed with safety protocols, contributing to a safer working environment.

New Entrant Safety Induction – New entrants undergo specific 10-day safety induction and on-the-job training before working independently. This ensures that new employees are familiar with safety practices and protocols from the outset of their tenure.



Employee & Workers Participation – Workers actively participate in monthly safety committee meetings. This involvement allows employees to contribute to the safety discussion and suggest improvements, fostering a culture of shared responsibility for health and safety.

Management Review – The management reviews safety performance monthly at each plant/business vertical. Regular reviews enable the identification of trends, areas for improvement, and the overall effectiveness of safety measures.

Safety Awareness Initiatives – To raise awareness on safety, the Company conducts various initiatives. Themes, campaigns, competitions, and recognition programs contribute to creating a safety-conscious workplace culture. As part of this initiative the Company has launched 12 Life Saving Rules Project in CY 23 to train more than 4000 employees and workers on the basic rules of safety to be followed while at work as well off the work. Total 4345 employees and workers were undergone this program.

13. Number of Complaints on the following made by employees and workers:

	CY 2023 (Current Financial Year)			CY2022 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	1	0		0	0	
Health & Safety	2	0		0	0	

14. Assessments for the year:

	% of plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%, internally assessed by the Company
Working Conditions	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Not Applicable

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

(A) Employees –Yes

(B) Workers –Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company has a process to verify that statutory dues have been deducted and deposited by the value chain partners, in some cases, by requiring to submit relevant proofs along-with invoices.

Also, the Company is taking declaration from the Suppliers on compliance of conditions of Code of Conduct which includes fulfilling of requirements related to employees and workers statutory dues.



3. Provide the number of employees / workers having suffered high consequence work- related injury/ ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2023 (Current Financial Year)	FY 2022(Previous Financial Year)	FY 2023 (Current Financial Year)	FY 2022(Previous Financial Year)
Employees	NA	NA	NA	NA
Workers	NA	NA	NA	NA

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

No

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	100%*
Working Conditions	100%*

***Note:** The Company is taking declaration from its suppliers on Supplier's ESG commitment in which they undertake to put into effective workplace health and safety practices and maintaining healthy working conditions.

The Company is in the process of launching Web Portal for data gathering and assessment for India Specific value chain partners periodically.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners

Not applicable

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders.

The Company's ESG (Environmental, Social, and Governance) Policy outlines an objective to create and maintain fluid and bidirectional communication with stakeholders. The goal is to better understand their expectations and efficiently adapt the business operations to safeguard the interests of all stakeholders while ensuring a right balance of conflicting interests.

To align the Company's business strategy with the legitimate wishes of stakeholders, the company engages intensely with them through various communication channels. These channels include the corporate website, intranet, in-house newsletter, and the Suppliers Portal. These platforms serve as avenues for effective communication, ensuring that stakeholders are informed and engaged.

The CIE Group ESG Strategic Plan for 2025 sets forth a dual challenge for its group companies. Firstly, it establishes earnings and business targets that respond to market trends. Secondly, it emphasizes addressing the needs and concerns of all stakeholders by integrating ESG standards into the management model. The plan focuses on measuring every impact to achieve quantifiable improvements, reflecting a commitment to sustainable business practices and stakeholder value.

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

Depending on how much of a material influence they have over the company or how much of a material influence the Company's corporate actions and their results have on them, key stakeholders are determined.



2. List stake holder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

The Company has identified six groups of stakeholders that interact with the Company and are affected directly or indirectly by its business through the Stakeholder Engagement and Materiality Assessment (SEMA) process

Stakeholder Group	Whether identified as vulnerable & marginalised group (Yes/No)	Channels of communication (Emails, SMS, Newspapers, Pamphlets, Advertisements, Community Meetings, Notice Board, Website, Others)	Frequency of engagement (Annually, Half yearly, quarterly /others- please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	- Structured conference calls - Periodic investor/analyst interactions like individual Meetings - Participation in investor conferences - Quarterly earnings calls - Analysts meet from time to time guided by finance department of the company	- Quarterly - Half yearly - Annually - Periodically and as & when required	- Disclosure of information - Consent of shareholders wherever required - to resolve the investor grievances involving various issues among which dividend related matters, - dematerialisation, - issue of duplicate share certificate etc.
Employees and Workers	No	- Company Intranet - News Letter - Office Collaboration screens - Notice Boards - Emails - Award and Recognition ceremonies/Town Hall	As required/daily	General Feedback, Grievances, to share relevant & useful information to employees, Employee Success, Motivation, Moral, Safety
Customers	No	- Mail - Meetings - SMS	As required/daily	To address complaint and revert with Corrective and Preventive Action



Stakeholder Group	Whether identified as vulnerable & marginalised group (Yes/No)	Channels of communication (Emails, SMS, Newspapers, Pamphlets, Advertisements, Community Meetings, Notice Board, Website, Others)	Frequency of engagement (Annually, Half yearly, quarterly /others- please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Vendors and Suppliers	No	- Suppliers meet, - Email, - Formal meet - Award and Recognition ceremonies - Participation in Survey conducted by the Company from time to time	- RM suppliers -Annual Meet - BOP supplier - Email	For compliance, announcement of new programmes and procedures of CIE India
Society	Yes	CSR Activities - Volunteering Activities - Community Events - Community Survey and Consultations	As and when required through NGO partners/ Third party	To identify the potential areas for CSR activities, formulating, implementing, and evaluating such CSR activities.
Central, State and Local Govt. and Various Statutory and Regulatory Bodies	No	- Email - SMS	As and where required	For Compliance & Communication

Leadership Indicators

- Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

ESG Policy of the Company provides the channels of communication for dialogue with and the participation of the various stakeholders in relation to ESG-

by E-mail: ESG.Sustain@cie-india.com

by Post- addressed to the Chairman Sustainability Council at the following address:

CIE Automotive India Limited

602 – 603 Amar Business Park, Above Westside Showroom, Baner, Pune – 411045

- Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

The Company's approach to formulating policies reflects a commitment to compliance with applicable laws and adherence to international standards and practices such as ISO 14001, ISO 45001, etc. The process involves consultation with relevant officers and advisors of the Company, followed by the approval of the policies by the Board.

In addition to legal and industry compliance, the Company actively encourages employee participation in Employee Social Engagement Programs, aligning with its Corporate Social Responsibility (CSR) Policy. The



Company engages in CSR activities with a focus on creating a positive impact on the weaker sections of society. The modalities of implementing CSR activities are determined through consultation with targeted beneficiaries, local authorities, and implementation partners.

Furthermore, the Company involves employees in initiatives like Kaizen, which encourages the generation of improvement ideas, including those related to waste management and energy reduction. The Behavior Based Safety approach encourages employees to highlight unsafe acts or conditions. These activities demonstrate the company's commitment to incorporating inputs from stakeholders, including employees, into its policies and operational activities. This inclusive approach helps create a more collaborative and socially responsible business environment.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalized stakeholder groups.

Yes, as a part of the CSR activities, the Company has initiated Project Lakshya.

Project Lakshya is a placement linked training & skills development project for unemployed youths. In this project, we have added new courses like Commercial Driver Training and Tool & Die Maker course. We have also increased enrolment of female candidates and special batch for most vulnerable group of community.

PRINCIPLE 5 Businesses should respect and promote human rights

The Company has adopted the Global Policy of CIE Group on Human Rights, demonstrating a formal commitment to respecting universal rights in all aspects of its operations. Additionally, the company's ESG Policy reinforces its dedication to respect human rights.

The Company explicitly repudiates child labor, compulsory labor, and workplace discrimination. It actively promotes respect for the freedom of association and the right to collective bargaining. Furthermore, the Company commits to compliance with prevailing legislation in all its business markets, aligning with internationally recognized human rights standards and its own Human Rights Policy.

The Human Rights Policy is in compliance with the provisions of the International Labour Organization's fundamental conventions on the freedom of association and the right to collective bargaining.

The Company did not receive any complaints related to human rights violations, specifically breaches of the right to decent work and a living wage, in either 2023 or 2022. This absence of complaints suggests a proactive approach to maintaining a workplace environment that upholds human rights standards and aligns with the United Nations Declaration. It reflects positively on the company's commitment to ethical and responsible business practices.

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the Company:

Category	FY2023			FY2022		
	Total (A)	No. of employees /workers covered (B)	% (B/A)	Total (C)	No. of employees /workers covered (D)	% (D/C)
Employees						
Permanent	1,601	1,052	66%	1,558	1,026	66%
Other than Permanent	3	0	0.00%	4	1	25%
Total Employees	1,604	1,052	66%	1,562	1,027	66%
Workers						
Permanent	2,665	1,226	46%	2,700	1,266	47%
Other than Permanent	6,263	1,397	22%	5,742	1,224	21%
Total Workers	8,928	2,623	29%	8,442	2,490	29%



2. Details of minimum wages paid to employees and workers, as follows

Category	FY 2023					FY 2022				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	1,601	0	0%	1,601	100%	1,558	0	0%	1,558	100%
Male	1,545	0	0%	1,545	100%	1,522	0	0%	1,522	100%
Female	56	0	0%	56	100%	36	0	0%	36	100%
Other than Permanent	3	0	0%	3	100%	4	0	0%	4	100%
Male	2	0	0%	2	100%	3	0	0%	3	100%
Female	1	0	0%	1	100%	1	0	0%	1	100%
Workers										
Permanent	2,665	0	0%	2,665	100%	2,700	0	0%	2,700	100%
Male	2,654	0	0%	2,654	100%	2,689	0	0%	2,689	100%
Female	11	0	0%	11	100%	11	0	0%	11	100%
Other than Permanent	6263	356	6%	5,907	94%	5,742	1169	20%	4,573	80%
Male	6,185	356	6%	5,829	94%	5,658	1141	20%	4,517	80%
Female	78	0	0%	78	100%	84	28	33%	56	67%

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

(amount in `)

	Male		Female	
	Number	Median remuneration/ salary/wages of respective category	Number	Median remuneration/ salary/wages of respective category
Board of Directors ²	09	2,537,054	1	5,000,000
Key Managerial Personnel (KMP)	05	29,726,128	0	NA
Employees other than BoD and KMP ³	1540	865,091	56	332,978
Workers ³	2654	879,265	11	594,886

Note:

- For the purpose of calculation of median remuneration, the meaning of Median as provided in Explanation (i) and (ii) to Rule 5 (1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 for reporting in Board Report is considered i.e. the numerical value separating the higher half of a population under a particular category from the lower half under that category by arranging all the observations from lowest value to highest value and picking the middle one in case of odd number of observations and in case of even number of observations, the median is calculated by arriving at average of the two middle values.
- In calculation of median remuneration for employees other than BoD and KMPs and Workers, only those employees and workers are considered who falls under permanent category.
- Further, the Directors, KMPs, Employees and Workers as on the end of the financial year i.e. 31st December, 2023 were taken into consideration for calculation of median remuneration.



b. Gross wages paid to females as % of total wages paid by the entity, as following:

	FY 2023	FY 2022
	Current Financial Year	Previous Financial Year
Gross wages paid to females as % of total wages	1.08%	0.10%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, the Company has a comprehensive mechanism in place to monitor cases addressing human rights issues. The availability of a grievance mechanism allows employees to raise concerns without fear of reprisal, and the Whistle Blower Channel is specifically designed to record and redress grievances, ensuring that employees' voices are heard and their concerns are addressed.

Furthermore, under the ESG (Environmental, Social, and Governance) Policy, the Company has established dedicated communication channels through which stakeholders can voice their concerns. This inclusion recognizes the importance of engaging with and addressing the perspectives and concerns of various stakeholders beyond the internal workforce.

The presence of these mechanisms, including the Whistle Blower Channel and dedicated communication channels under the ESG Policy, reflects the Company's commitment to transparency, accountability, and ethical practices. It ensures that individuals, whether employees or external stakeholders, have avenues to express their concerns and contribute to the ongoing improvement of the Company's policies and practices related to human rights and broader ESG issues.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues

The Company has extended its commitment to addressing human rights issues beyond the Whistle Blower Mechanism. Under the ESG (Environmental, Social, and Governance) Policy, dedicated communication channels have been established to allow for the raising of grievances related to human rights issues. This demonstrates a comprehensive and multi-faceted approach to addressing concerns and ensuring accountability in the domain of human rights within the Company.

Additionally, the provision of a Global contact for issues related to ESG and Society under CIE Group's Global ESG Policy further emphasizes the company's commitment to a global standard of corporate responsibility. The availability of a contact point provides stakeholders with a means to report and address ESG-related concerns on a broader scale.

These initiatives contribute to fostering a transparent and accountable corporate culture, aligning with best practices in corporate responsibility and sustainability. The accessibility of dedicated channels and global contacts ensures that stakeholders have avenues to voice their concerns and contribute to the company's ongoing commitment to ethical and responsible business practices.



6. Number of Complaints on the following made by employees and workers:

	CY 2023			CY 2022		
	Filed during the year	Pending resolution at the end of the year	Remarks	Filed during the year	Pending resolution at the end of the year	Remarks
Sexual Harassment	1	0	During the year a complaint of previous year is also resolved	1	1	Not applicable
Discrimination at workplace	0	0	Not Applicable	0	0	
Child Labour	0	0		0	0	
Forced Labour/ Involuntary Labour	0	0		0	0	
Wages	0	0		0	0	
Other Human rights related issues	0	0		0	0	

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	CY 2023 Current Financial Year	CY 2022 Previous Financial Year
Total Complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	1	1
Complaints on POSH as a % of female employees / workers	0.68%	0.75%
Complaints on POSH upheld	2	NA (Resolved during the FY 2023)

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases

The Company has adopted CIE Automotive's protocol for preventing and handling workplace harassment.

The protocol encompasses the prevention of mobbing, sexual harassment, and gender harassment, incorporating various preventive measures such as zero-tolerance towards harassment, shared employee responsibility for monitoring workplace conduct, and the establishment of communication programs. The Harassment Protocol is accessible on the CIE Automotive website for consultation, demonstrating transparency and accessibility.

Moreover, in accordance with the Sexual Harassment of Women at Workplace (Prevention, Prohibition, and Redressal) Act of 2013, the Company has formulated a Policy on the Prevention of Sexual Harassment for Women at the Workplace. This policy is applicable to all employees, including permanent, contract, temporary, and trainees. To address accusations of sexual harassment, the Company has established an Internal Committee (IC), aligning with legal requirements.

The Code of Professional Conduct enables the submission of inquiries or notifications, including those related to harassment, anonymously. The Compliance Department handles and analyzes such notifications and inquiries confidentially.

Both the harassment policies and the whistle-blower policy provide mechanisms for the protection of complainants and whistle-blowers. The company explicitly condemns any form of discrimination, harassment, victimization, or unfair employment practices against whistle-blowers. This commitment includes complete protection against retaliation, threats, intimidation, or any other unfair practices that may hinder the whistle-blower's right to continue performing their duties or making further protected disclosures. This comprehensive approach reinforces a commitment to creating a safe and respectful workplace environment.



9. Do human rights requirements form part of your business agreements and contracts?

(Yes/No)

Yes, The Company places a mandatory requirement on the inclusion of human rights specifications in business agreements and contracts. Ensuring that human rights considerations are embedded in these documents reflects a commitment to ethical business practices. Moreover, the mandatory requirement for all suppliers to sign the Suppliers ESG Commitment, which incorporates human rights requirements, is a proactive step. This approach aligns with global sustainability goals and ethical business practices.

The Group's Suppliers ESG Commitment is available on the website of the CIE Group on the Weblink: <https://www.cieautomotive.com/en/web/guest/compromiso-asg-proveedores>

10. Assessments for the year:

	% of the Company's plants and offices that were assessed (by the Company or statutory authorities or third parties)
Child Labour	The Company has implemented a robust mechanism to ensure compliance with all statutory requirements. The company conducts regular internal assessments to verify compliance with various topics, including but not limited to Child Labour, Forced Labour / Involuntary Labour, Sexual Harassment, Discrimination at the workplace, Wages, Safety, Health, and Welfare.
Forced Labour/Involuntary Labour	
Sexual Harassment	
Discrimination at workplace	The commitment to conducting internal assessments on these critical topics is reflected in the fact that 100% of the company's plants and offices have undergone internal assessments. This demonstrates a proactive approach to ensuring legal and ethical compliance across various aspects of the company's operations, contributing to a safe, fair, and inclusive workplace environment..
Wages	
Other- please specify	

11. Provide details of any corrective actions taken or underway to address significant risks /concerns arising from the assessments at Question 10 above.

Not Applicable

Leadership Indicators

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

The company is committed to deploying resource-efficient and low-carbon processes and technologies in the manufacturing of its products. The goal is to provide goods and services to customers while minimizing adverse environmental and social impacts associated with its operations.

To effectively manage environmental risks and opportunities, the company has implemented a robust environmental management system that adheres to the specifications of the ISO-14001 standard. Except one manufacturing plant all manufacturing locations are already certified under ISO-14001 standards.

As part of its commitment to a circular model, the company focuses on better managing natural resources by monitoring consumption and waste generation to minimize negative impacts from its activities.

A noteworthy initiative involves increasing the share of green energy in total energy consumption. In the current financial year (CY) 2023, the company achieved a proportion of 57% renewable energy consumption to the total energy consumption. This emphasizes the company's dedication to sustainability and reducing its carbon footprint through the utilization of renewable energy sources.



Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity:

(amount in `)

Parameter	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
From renewable sources		
Total electricity consumption (A) Kwh	14,58,05,258.08	13,23,43,617.9
Total fuel consumption (B) Kwh	1,07,04,540.5	0
Energy consumption through other sources (C) Kwh	0	0
Total energy consumed from renewable sources (A+B+C)	15,65,09,798.58	13,23,43,617.9
From non-renewable sources		
Total electricity consumption (D) Kwh	11,02,54,708.7	12,26,90,689.1
Total fuel consumption (E) Kwh	4,73,54,735.98	799,45,237.79
Energy consumption through other sources (F)	0	0
Total energy consumed from non-renewable sources (D+E+F)	15,76,09,444.68	20,26,35,926.89
Total energy consumed (A+B+C+D+E+F)	31,41,19,243.26	33,49,79,544.79
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	0.007	0.007
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	0.0019	0.0022
Energy intensity in terms of physical Output (Per MT)		
Energy intensity (optional) – the relevant metric may be selected by the entity	1,429.09	1,559.42

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable



3. Details of the following disclosures related to water

Parameter	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	1,50,274	1,95,344
(ii) Ground water	58,669.95	64,691
(iii) Third party water	2,99,915.59	2,18,300
(iv) Sea water / desalinated water	0	0
(v) Others (Rain Water)	6,363	5,546
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	5,15,222.54	4,83,881
Total volume of water consumption (in kilolitres)	5,08,942.39	4,83,881
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	0.0000116	0.0000106
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	0.00000314	0.00000322
Water intensity in terms of physical Output (Per MT)		
Water intensity (optional) – the relevant metric may be selected by the entity	2.32	2.25

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency. No

4. Provide the following details related to water discharged:

Parameter	CY 2023 (Current Financial Year)	CY 2022 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
No treatment	0	0
With treatment – please specify level of treatment	0	0
(ii) To Groundwater		
No treatment	0	0
With treatment – please specify level of treatment	0	0
(iii) To Seawater		
No treatment	0	0
With treatment – please specify level of treatment	0	0



Parameter	CY 2023 (Current Financial Year)	CY 2022 (Previous Financial Year)
(iv) Sent to third parties		
No treatment	11,182.01	27,796.1
With treatment – please specify level of treatment	1,261.29	0
(v) Others (Using for Gardening Purpose)		
No treatment	0	0
With treatment – (Primary, Secondary and Tertiary treatment)	1,29,797.15	1,18,450
Total water discharged (in kilolitres)	1,42,240.45	1,46,246.1

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. – No

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, Company has established a mechanism in compliance with the requirements specified by the State Pollution Control Board consent conditions. Sewage Treatment Plants (STPs) and Effluent Treatment Plants (ETPs) have been installed to facilitate the recycling of wastewater. The treated water is further utilized in various processes, gardening, cooling tower top-ups, toilet flushing, and other applications. Moreover, the mention of the Zero Liquid Discharge mechanism being implemented at the company's Unit at Bill Forge Plant 2, Iron Casting Urse, Gears Chakan, and Gears Rajkot Unit 3 demonstrates a commitment to environmental sustainability. Zero Liquid Discharge implies that no liquid effluent is discharged outside the facility after the treatment process, contributing to a more sustainable and eco-friendly approach to industrial processes. This aligns with environmental best practices and regulatory compliance.

6. Details of air emissions (other than GHG emissions) by the entity, as follows:

Parameter	Please specify unit	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
NOx	microgram/Nm3	23.12	20.9
SOx	microgram/Nm3	15.14	16.35
Particulate matter (PM)	microgram/Nm3	55.98	107.61
Persistent organic pollutants (POP)	microgram/Nm3	Not Applicable	Not Applicable
Volatile organic compounds (VOC)	microgram/Nm3	Not Applicable	Not Applicable
Hazardous air pollutants (HAP)	microgram/Nm3	Not Applicable	Not Applicable
Others – please specify	microgram/Nm3	Not Applicable	Not Applicable

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	9,169.44	18,897
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	92,230.32	1,83,706
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	MT / ` Cr	0.00000222	0.00000461
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for purchasing power parity PPP (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted from PPP)		0.000000625	0.00000135
Total Scope 1 and Scope 2 emission intensity in terms of physical output (Per MT)			
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity	MT CO ₂ e/MT	0.461	0.943
Total Biogenic Emission	MT CO ₂ e/MT	2734.48	1286.25

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Yes. The Company has undertaken several measures to reduce its overall GHG Emissions.

For conservation of energy following initiatives were undertaken by the Company, which has helped in reducing the GHGs:

- Modification of cooling tower water pipelines layout to reduce no. of cooling towers.
- Induction Billet Heating Coil modifications
- Installation of new energy efficient compressors
- Installation of VFD in machines
- Installation of Motion Sensors
- Upgrading existing motors to energy efficient motors
- Use of mechanical energy instead of Electrical energy
- Converting normal lights into LED Lights
- Interlocking of machine accessories operations with machine cycle
- Power Factor improvements by installing SVG unit



- Conversion of MIG welding machines to thyristor control welding machines
- Installation of Servo system on press machines
- KW reduction in SQF fans motor from 5.5KW to 3.7 KW
- Elimination of 3.7 KW motor with gearbox in Tempering Furnace by Converting mechanical chain pusher into Pneumatic cylinder pusher
- KW reduction in Annealing furnace from 36 KW to 26 KW by design change
- Optimized blasting time in Shotblasting Machine
- Interlink Conveyer with Press to auto stop
- Optimization of office air-conditioning utilization
- Dummy Billets for IBH Start / Stop
- Auto cut off IBH while setting time – WF
- Replacing Diesel boiler with Gas boiler
- Installation/replacement of roof top sky lights for use of day light
- Optimisation of Compresse air pressure & reduce compressed air consumption
- APFC panel Installation, Harmonic Filters Installation etc.
- Cycle Time Reducing in 2D Laser Marking.
- Installation of 500 KW modular Induction Billet heater on 1600T Press line
- Water cooled heat exchanger to be installed in place of refrigerator chiller
- Energy audit to identify the gaps
- Installation of Roof Top Solar panels
- Addition of 16 MW Group Captive Solar power plant
- Installation of new transformer

9. Provide details related to waste management by the entity:

Parameter	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	216.5	175.15
E-waste (B)	8.88	8.929
Bio-medical waste (C)	0.04	0.004
Construction and demolition waste (D)	175.96	0
Battery waste (E)	2.75	0
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	2,211.35	2,021.453
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	1,39,331.12	85,501.971
Total (A+B + C + D + E + F + G+ H)	141,946.6	87,707.51



Parameter	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
Waste intensity per rupee of turnover (Total waste generated/ Revenue from operations)	0.0000031	0.0000020
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	0.00000087	0.00000058
Waste intensity in terms of physical output (Per MT)		
Waste intensity (optional) – the relevant metric may be selected by the entity	0.646	0.408
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	1,13,660.14	60,306.478
(ii) Re-used	2,046.64	0
(iii) Other recovery operations	968.54	199.86
Total	1,16,675.32	60,506.338
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	523.81	345.542
(ii) Landfilling	25,248.35	26,627.396
(iii) Other disposal operations	15,201.26	228.238
Total	40,973.42	27,201.18

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The company has obtained authorization from the State Pollution Control Boards for the management of both Hazardous and Non-hazardous waste. A systematic waste management approach is in place, involving the segregation of all types of waste at the source. Designated storage areas are allocated for each waste type, and the generation and disposal records are diligently maintained for every waste category, adhering to consent and applicable requirements.

Waste disposal and recycling procedures follow the stipulated consent and rule requirements, directing waste to Common Hazardous Waste Storage, Treatment, and Disposal facilities, authorized recyclers, or agencies. The company ensures compliance with these regulations, and annual returns are filed as per consent and applicable rule requirements.

To enhance environmental awareness and compliance, the company conducts training and awareness programs for individuals involved in the handling, storage, and disposal of waste at regular intervals. Specifically, hazardous and toxic chemicals are handled by trained personnel in accordance with their Safety Data Sheets (SDS). Additionally, the company focuses on reducing the consumption of these substances, aligning with specific process requirements. This comprehensive waste management strategy reflects the company's commitment to environmental responsibility and regulatory compliance.



11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) if no, the reasons thereof and corrective action taken, if any.
Not Applicable			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not Applicable					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N).

Yes. The Company is compliant with the applicable laws pertaining to Water (Prevention and Control of Pollution) Act, 1974, Air (Prevention and Control of Pollution) Act, 1981, Environment Protection Act, 1986 and rules thereunder.

If not, provide details of all such non-compliances, as following:

S. No.	Specify the law/ regulation/guidelines which was not complied with	Provide details of the non - compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken if any
Not applicable				

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area
- (ii) Nature of operations

Not applicable, since none of the plant is situated in water stress area as per Central Ground Water Authority (CGWA) guidelines



Water withdrawal, consumption and discharge as follows:

Parameter	FY 2023	FY 2022
Water withdrawal by source (in kilolitres)		
(i) Surface water	Not Applicable	
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres)		
Total volume of water consumption (in kilolitres)		
Water intensity per rupee of turnover (Water consumed / turnover)		
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water	Not Applicable	
- No treatment		
- With treatment – please specify level of treatment		
(ii) Into Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) Into Seawater		
- No treatment		
- With treatment – please specify level of treatment		
(iv) Sent to third-parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		
Total water discharged (in kilolitres)		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. No

2. Please provide details of total Scope 3 emissions & its intensity:

Parameter	Unit	FY 2023 (Current Financial Year)	FY 2022 (Previous Financial Year)
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	Not Applicable	Not Applicable
Total Scope 3 emissions per rupee of turnover			
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. – No

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Reduction in Energy Consumption Intensity	- Upgrading existing motors to energy efficient motors - Use of correct rating motors as per Load - Use of Motion Sensors - Installation of Timers in Lighting Panels - Modification of cooling tower water pipelines layout to reduce no. of cooling towers. - Induction Billet Heating Coil modifications - Installation of new energy efficient compressors - Installation of VFD in machines - Installation of Motion Sensors - Use of mechanical energy instead of Electrical energy - Converting normal lights into LED Lights - Interlocking of machine accessories operations with machine cycle - Power Factor improvements by installing SVG unit - Conversion of MIG welding machines to thyristor control welding machines - Installation of Servo system on press machines - Capacitor Banks Capacity Optimization	Reduction in Energy intensity



Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
		17. Installation/replacement of roof top sky lights for use of day light 18. Optimisation of Compresses air pressure & reduce compressed air consumption 19. (APFC panel Installation, Harmonic Filters Installation etc.) 20. Cycle Time Reducing in 2D Laser Marking 21. Installation of 500 KW modular Induction Billet heater on 1600T Press line 22. Water cooled heat exchanger to be installed in place of refrigerator chiller 23. Energy audit to identify the gaps 24. Replacement of old AC with inverter-based AC 25. Installation of new transfomer	
2	Increase use of Renewable Energy	1. Cleaning of solar panels to increase the generation 2. Increasing Group Captive Generation 3. Installation of Roof Top Solar panels 4. Addition of 16 MW Group Captive Solar power plant	Renewable energy increased to about 57%
3	Reduction in Water Consumption Intensity	1. Installation of Dish Washer in Canteen 2. Installation of Water Aerators 3. Use of Rainwater Harvesting system 4. Recycling of ETP/STP Treated water in processes & gardening 5. Fixing of Auto Level sensors in overhead storage tanks 6. Usage of Treated water for Urinals & Toilet flush 7. Upgrading STP to MBR technologies 8. Providing flow controller for all tanks to avoid over flow 9. Reusing of coolant by filtration (DM) 10. Use of RO Reject water for solar panel cleaning 11. Use of harvested rainwater into cooling towers 12. Installation of EDRO System	Reduction in Water Consumption Intensity



Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
4	Reduction in Material Consumption Intensity	1. VA/VE projects 2. Recycling of Scrap material 3. Gross Weight Reduction activities 4. Reduction in inhouse scrap generation 5. Tool Life optimization 6. Use of Returnable packaging material 7. Reusing the dies for production 8. Packet die replace instead of whole die machining 9. Reduction of Plastic Packaging materials 10. Increase No. of parts per packaging 11. Procurement of input material in bins/returnable packaging from suppliers/vendors 12. Wire spool consumption reduction by using 100 kg drum wire spool	Reduction in Material Consumption Intensity
5	Reduction in Hazardous Waste Intensity	1. Installation of Filter Press at source of generation 2. Use of Dry Cut operations in turning 3. Use of Returnable Cans/Drums for procurement of chemicals 4. Segregation at source 5. Reusing of Quench oil by filtration 6. Increasing bath life of effluent/oils/coolants 7. Installation of high-quality magnetic filtration system 8. Recovery of left-over paint in CED tank	Reduction in Hazardous Waste Intensity
6	Reduction in Non Haz Waste Intensity	1. Use of Off Cut Steel Material 2. Segregation at Source 3. VA/VE projects 4. Recycling of Scrap material 5. Optimising the packaging material sizes 6. Use of Returnable packaging 7. Reduction in metal scrap (Melting & Boring)	Reduction in Non-Hazardous Waste Intensity



Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
7	Reduction in Fuel, Gases & Chemical Consumption Intensity	1. Installation of Bio Gas Plants 2. Use of Cleaner Fuels 3. Re-use of oil after filtration 4. Use of Battery Operated Forklifts 5. Optimising Chemical Consumption usage 6. Optimising replacement & top up frequency 7. Efficiency optimization 8. Replace diesel forklift to electrical forklifts 9. Insulation of heat transfer lines 10. Reusing the cutting oils 11. Installation of bio gas plant for converting food waste 12. Palatize CO2 gas bank usage instead of CO2 cylinder	Reduction in Fuel Consumption Intensity
8	Transport Management (Reduction in No of Trips In- bound & Out-bound) Utilization of Vehicle Capacity	1. Clubbing of Dispatch Material Loads 2. Dispatching in Large Capacity Vehicles 3. Material Pack Size increasing 4. Dispatch Qty Lot Size increasing to Customer 5. Increasing use of CNG Vehicles 6. Use of empty vehicles while returning after customer delivery for pickup of inward material from vendors. 7. Use of Milk Run vehicles on a common route 8. Small size vehicles will be reduced and increase BIG size from 407 to 707/1109 9. Outsourcing to insourcing process	Overall Transport Vehicle Capacity Utilization increased up to 97%.
9	Green Belt Development	1. Tree Plantation inside plant premises 2. Tree Plantation under CSR activities nearby plants 3. Tree survival monitoring	Total 5642 trees were planted across all locations of the company

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The Business Continuity Plan (BCP) of the Company is an integral part of its Risk Management Policy. Each manufacturing unit of the Company has a disaster management plan in place, designed to ensure compliance with applicable laws and prioritize the protection of assets and the well-being of individuals. The primary objective of these plans is to ensure the continuity of key business processes in the aftermath of a disaster, be it caused by natural or man-made events.

To facilitate effective emergency preparedness, an Emergency Preparedness manual is available at each plant of the Company. This manual includes crucial information such as: (a) Emergency preparedness procedures, (b) List of potential emergencies, (c) Details of chemical and fuel storage, (d) Information about the fire-fighting system, (e) Emergency Response Team (ERT), (f) General communication flow charts for both working and non-working hours, (g) Instructions to be followed during emergencies, (h) Incident investigation procedures, (i) Roles of ERT members,



Regular mock drills are conducted to educate employees on appropriate responses during emergencies. These measures collectively ensure that the Company is well-prepared to handle unexpected disruptions and can swiftly resume its key business operations.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

The Company states that it does not perceive any substantial adverse impacts on the environment arising from its value chain. It conducts impact assessments for all potential risks and takes necessary actions to mitigate these risks. As part of the vendor registration process, the Company obtains ESG (Environmental, Social, and Governance) commitment declarations from all value chain partners.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

The Company has implemented a Suppliers ESG Criterion Evaluation, requiring suppliers to conduct self-assessments of their compliance with Principle 7, Principle 8, and Principle 9 of the UN Global Compact, specifically addressing environmental commitments. Notably, 100% of the Company's suppliers have completed the self-assessment and expressed their commitment to comply with these principles.

However, it's important to note that as of the provided information, no independent assessment has been carried out to evaluate the environmental impacts of the company's value chain partners. While the self-assessment by suppliers is a positive step, independent assessments could provide an additional layer of scrutiny and verification regarding the environmental practices throughout the value chain. Independent assessments can enhance transparency and credibility in evaluating and addressing environmental impacts.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

The Company operates its business within the national and international legislative and policy framework and does not engage in influencing public and regulatory policy. Instead, it encourages complete cooperation and diligence from every individual during inspections, information requests, or procedures that Public Authorities may deem necessary.

The Company may become members of trade and industry chambers or associations and other similar collective platforms. These memberships provide avenues for conveying industry concerns to policy makers. This collaborative approach allows the Company to participate in industry dialogue and contribute to the development of policies that impact its sector.

Essential indicators

- 1. a. Number of affiliations with trade and industry chambers/associations- Ten**
- b. List of the top 10 trade and industry chambers/associations (determined based on the total members of such body) the Company is a member of/affiliated to:**

S. No.	Name of the trade and industry chambers/associations	Reach of trade and industry chambers/associations (State/ National)
1	Confederation of Indian Industry	National
2	EEPC India (Engineering Export Promotion Council)	National
3	Association of Indian Forging Industry (AIFI)	National
4	Indian Machine Tool Manufacturer's Association (IMTMA)	National
5	Automotive Component Manufacturers Association of India (ACMA)	National
6	Hosur Industrial Association	State
7	Mahratta Chambers of Commerce & Agriculture (MCCIA)	State
8	Bommasandra Industrial Association	State
9	Jigani Industrial Association	State
10	Attibele Industrial Association	State



2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the Company, based on adverse orders from regulatory authorities

Name of the authority	Brief of the case	Corrective action taken
NIL		

Leadership Indicators

1. Details of public policy positions advocated by the Company:

S. No.	Public Policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/ No)	Frequency of Review by Board (Annually/ Half yearly/Quarterly/ Others- please specify)	Web Link, if available
The Company operates the business within national and international legislative and policy framework and does not engage in influencing public and regulatory policy.					

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

The Company is actively involved in contributing to the development of the communities it collaborates with, engaging in social projects as part of its commitment to community well-being. A comprehensive "Corporate Social Responsibility Policy" has been established to guide these initiatives, outlining the context and approach for such endeavors. It is strictly prohibited to make donations or financial contributions to organizations involved in illicit activities. All social projects and initiatives are conducted in accordance with the Company's CSR Policy and are documented in the Company's accounting records. Specific details of the CSR activities undertaken by the Company can be found in the Annual Report on CSR Activities, which is appended to the Report of Directors forming part of the Annual Report-2023. A summary of these activities is also available on the Company's website at the provided weblink: <https://www.cie-india.com/csrOLD1.html>

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not Applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amount paid to PAFs in the FY (In INR)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

Any stakeholder can report their genuine concerns through the Whistle Blower Channel available at the weblink: <https://www.cie-india.com/assets/pdf/governance/policies/Whistle%20Blower%20Policy.pdf>

The grievances are redressed in accordance with the Whistle Blower Policy of the Company.

Apart from the Whistle Blower Mechanism, the ESG Policy of the Company provides dedicated communication channels through which the Company may receive grievances of the community. The Company will endeavour to redress the same in accordance with the principles laid down under the Policy. Further, the Global contact for any issue related to ESG and Society available under CIE Group's Global ESG Policy, details of which are available at the weblink: <https://cieautomotive.com/en/contacto>.



4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2023 Current Financial Year	FY 2022 Previous Financial Year
Directly sourced from MSMEs/small producers	16%	13%
Directly from within India	97%	96%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost

Location	FY 2023 Current Financial Year	FY 2022 Previous Financial Year
Rural	18.4	16.6
Semi-urban	12.2	11.8
Urban	59.7	60.6
Metropolitan	9.8	11.0

Leadership Indicators

- Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above): NA**
- Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies: NA**
- Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No) – NO**
 - From which marginalized /vulnerable groups do you procure? – Not Applicable**
 - What percentage of total procurement (by value) does it constitute? – Not Applicable**
- Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge: NA**
- Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved: NA**
- Details of beneficiaries of CSR Projects:**

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	ESEP- Employee Social Engagement Program	39226	100%
2	WASH 2 (Water, Sanitation & Hygiene) in Fourteen Schools	4600	100%
3	Utkarsh - 3 (Infrastructure Development) in five Schools of Raigarh & Satara)	1125	100%
4	GEMS (Green Education Movement in Schools) in one School	600	100%
5	LOTUS (Learning Opportunity & Training for Upliftment of Special Students) in two Schools	196	100%
6	Harit Gram	85000	100%
7	Lakshya- CIE India Institute of Skills	300	100%



S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
8	Utkarsh - 1 (Infrastructure Development & Life Skills Training) in One School, Udham Singh Nagar	663	100%
9	Utkarsh - 2 (Infrastructure Development & Life Skills Training) in One School, Gundalwadi	140	100%
10	Santulan 2	25	100%
11	Utkarsh - 4.1 (Infrastructure development at Shree Girija Shankar High School, Village Rajache Kurle, Satara)	250	100%
12	Rural Development at Village Buchinelly, Zaheerabad	3200	100%
13	Construction of a school building near Bill Forge plant 2 location - Kallubalu village in place of the existing GHPS	600	100%

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

The Company provides Original Equipment Manufacturers (OEMs) and their tier-1 suppliers with the parts they need, precisely when and how they need them, aiming to generate value as framed by its Quality Policy. Throughout 2023, it continued to respond to its customers' requirements with multi-technology solutions designed to satisfy diverse needs. Customer satisfaction is driven by continuous product and process improvement through prevention, systematic revision, training, and know-how sharing, as outlined in the group's Global Quality Policy. The policy demonstrates the Company's dual strategic commitment to quality and environmental protection, in harmony with its customers' concerns.

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The primary objective of the Company's commercial pursuits is customer satisfaction. To accomplish this aim, the Company dedicates extensive efforts to surpass expectations throughout every phase of the customer relationship process. This commitment spans from the initial sales pitch and effective project management to ensuring timely production and service delivery. In the event of any deviations, the Company promptly responds, and it actively seeks feedback. Given its lack of direct interaction with end consumers, the Company doesn't employ proprietary customer grievance management systems. Instead, it handles claims and complaints received from its customers, including OEMs and TIER-1 suppliers, in adherence to the standard operating procedures prevalent in the automotive industry to which it belongs.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	As mentioned, the parts/components are manufactured as per the specification given by our customers (OEMs and TIER-1 suppliers) and we do not have direct supply of any products to end consumers.
Safe and responsible usage	
Recycling and/or safe disposal	



3. Number of consumer complaints in respect of the following:

	FY2023		Remarks	FY2022		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	Not Applicable	0	0	Not Applicable
Advertising	0	0	Not Applicable	0	0	Not Applicable
Cyber- security	0	0	Not Applicable	0	0	Not Applicable
Delivery of essential services	0	0	Not Applicable	0	0	Not Applicable
Restrictive Trade Practices	0	0	Not Applicable	0	0	Not Applicable
Unfair Trade Practices	0	0	Not Applicable	0	0	Not Applicable
Other (received in Ordinary Course of Business relating to operational issues and not involving any ESG issues)	823	23	-	948	0	-

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	0	Not Applicable
Forced recalls	0	Not Applicable

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

The Company has established a robust framework for cyber security and data privacy. Cyber security risk is incorporated into the overall Risk Control and Management Policy of the Company. This policy, inclusive of cyber security measures, is available for reference at the provided weblink. This approach underscores the Company's commitment to addressing and managing risks related to cyber security and ensuring the protection of sensitive data: <https://www.cie-india.com/assets/pdf/governance/policies/Code%20for%20Fair%20Disclosure%20of%20UPSI.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Nil, The Company places a high value on privacy and implements additional precautions to safeguard the personal information entrusted to it. This commitment extends to information provided by staff, clients, partners, suppliers, business partners, contractors, workers, institutions, and the public. The Company takes proactive measures to ensure the confidentiality and security of this personal information.

7. Provide the following information relating to data breaches:

- Number of instances of data breaches along with impact: 0
- Percentage of data breaches involving personally identifiable information of customers: 0
- Impact if any, of the data breaches – 0



Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

All the information on products and services of the Company are available on the Company portal website i.e., <https://www.cie-india.com>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

All our products, adhere strictly to customer requirements. Hence any aspects or impacts related to the product are solely determined by customers. This highlights a customer-centric approach where our focus is on meeting and aligning with the exact requirements and expectations set by our customers.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

In the event of disruptions or discontinuation of essential services, we promptly notify our customers through established communication channels, providing them with detailed information about the events leading to the disruption or discontinuation. Our Quality Management Systems include contingency plans to ensure a swift and effective response to such situations. Additionally, we conduct risk analyses and reviews using the Common Reference Architecture (CORA) to further enhance our preparedness and resilience in handling potential challenges. This proactive approach underscores our commitment to maintaining the continuity and reliability of essential services for our customers.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey?

The Company actively monitors consumer satisfaction through surveys conducted every 6 months for all product suppliers. Additionally, plant leads track customer complaints to ensure and enhance customer satisfaction. While the Company operates as a B2B entity, and product information is not displayed publicly, traceability numbers are punched on major parts for identification, particularly in relation to warranty issues. This indicates a commitment to maintaining and improving customer satisfaction levels for the auto components supplied to OEMs.

